

Credit Market Outlook & Strategy

We tried to Google a non-hyperscaler related title this week but alas...

- HG spreads tightened for 6 days in a row though the magnitude of the move was relatively shallow (96bp to 91bp). This came to an end on Thursday as spreads widened anew from yet another jumbo hyperscaler bond deal from GOOGL. This seems to have caught the market by surprise and thus hyperscaler spreads widened 4bp yesterday alone to 137bp and the rest of the market was nearly 1bp wider too (see our new weekly **Hyperscaler and Datacenter bond monitor section at the end of CMOS for details**). This goes to show that the market remains relatively skittish around hyperscaler issuance despite the much better tone since the data center deal 2 weeks ago (the YTD wides on our hyperscaler index was 154bp on July 29th). The good news is that at this point 3 of the 6 hyperscalers have given soft 'guidance' that they are most likely done for the year and our revised TMT supply forecasts reflects this, with TMT analyst Erica Spear [calling](#) for 'just' another \$50bn through year-end (MSFT is the only hyperscaler to have not issued YTD). In line with her +\$90bn revision, **we push up our overall 2026 supply forecast from \$1.92tr to \$2.0tr**. We do think it is important to keep track of net issuance more so than gross, and net issuance prospects seem more positive into year end (\$365bn of maturities through December vs. \$588bn gross supply under our revised forecast).
- Away from the hyperscaler issuance dynamics, rates stabilizing close to YTD highs is a positive (WTD returns of +0.4% is the best week in two months) and it has allowed fund flows to recover somewhat while keeping yield buyers engaged too. Earnings season is 89% done and just like last quarter it has been very supportive for BBB spreads, with the BBB-A spread 3bp tighter to 31bp, essentially back to the YTD tight. All in all, we think HG spreads are in a good place though we have a hard time conjuring up a scenario where they rally much further near term given investors will soon be setting up for a busy September primary calendar (last year was a record for September at \$214bn, which was also the busiest month of 2025). As well, the rates backdrop is likely to remain somewhat volatile between further Iran/oil gyrations and the Jackson Hole symposium the last week of August.
- Inside we also review the highly bifurcated growth of the market between hyperscalers versus the rest of the market, the impact of Yen intervention on Japanese demand for US HG and a recap of July issuance trends.

North America Corporate Credit - Investment Grade Strategy

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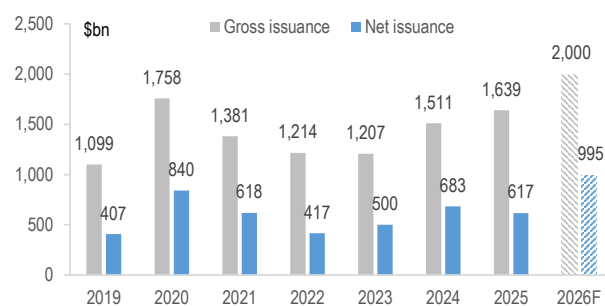
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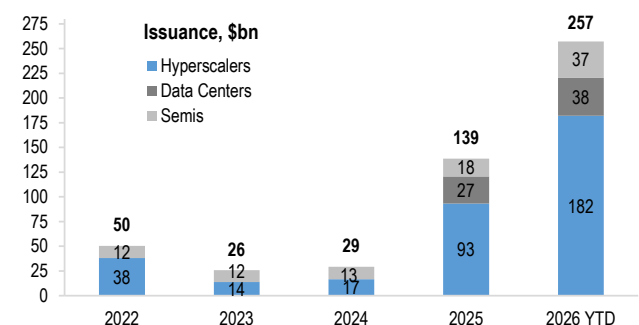
J.P. Morgan Securities LLC

Figure 1: We revise our full-year gross issuance forecast up to \$2.0tr



Source: J.P. Morgan, Dealogic

Figure 2: AI Capex issuance in USD HG already closing in on 2x last year's pace



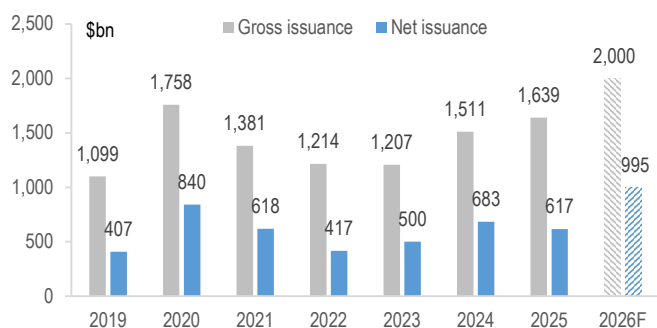
Source: J.P. Morgan, Dealogic

See page 15 for analyst certification and important disclosures.

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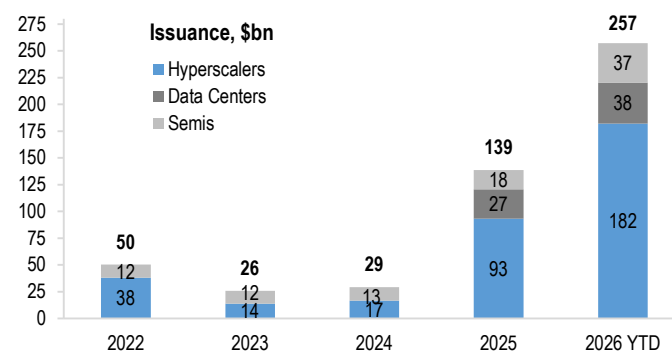
HG spreads had a nice run over much of the past 2 weeks, tighter for 6 days in a row which is the longest such run since last August (9 days straight then), though the magnitude of the move was relatively shallow (96bp to 91bp). This came to an end on Thursday as spreads widened anew from the most surprising of drivers (not!), yet another jumbo hyperscaler bond deal. This was the 5th time YTD that GOOGL has tapped global bond markets, the same number of times that it had come to the bond markets in the combined 10 years prior! This seems to have caught the market by surprise (though many were expecting at least one other hyperscaler to issue post earnings) and thus hyperscaler spreads widened 4bp yesterday alone to 137bp and the rest of the market was nearly 1bp wider too (see our new weekly **Hyperscaler and Datacenter bond monitor** section at the end of CMOS for details). This goes to show that the market remains relatively skittish around hyperscaler issuance despite the much better tone since the data center deal two weeks ago (the YTD wides on our hyperscaler index was 154bp on July 29th). The good news is that at this point 3 of the 6 hyperscalers have given soft ‘guidance’ that they are most likely done for the year and our revised TMT supply forecasts reflects this notion, with TMT analyst Erica Spear [calling](#) for ‘just’ another \$50bn through year-end (MSFT is the only hyperscaler to have not issued YTD). In line with her overall +\$90bn revision, **we push up our overall 2026 issuance forecast from \$1.92tr to \$2.0tr (we’ve made minor downward revisions to Consumer/Retail issuance expectations)**. We discuss these supply dynamics in more detail inside, as we do think it is important to keep track of net issuance more so than gross, and net issuance prospects seem more positive into year end (\$365bn of maturities through December vs. \$588bn gross supply under our revised forecast). As a reminder, we track both gross and net issuance on a weekly basis in Excel format [here](#), a report which you can subscribe to separately on JPMM under Publications by selecting Analytics and then US HG Corporate Issuance.

Figure 3: We revise our full-year gross issuance forecast up to \$2.0tr



Source: J.P. Morgan, Dealogic

Figure 4: AI Capex issuance in USD HG already closing in on 2x last year's pace

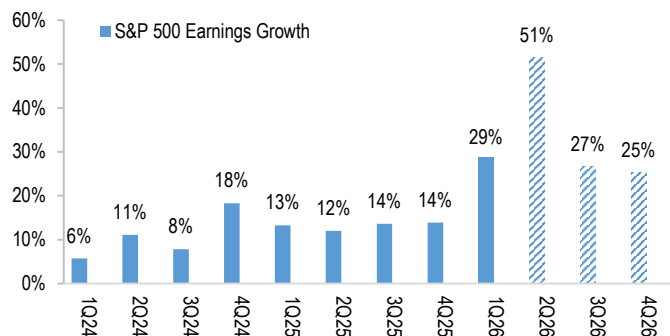


Source: J.P. Morgan, Dealogic

Away from the hyperscaler issuance dynamics, rates stabilizing close to YTD highs is a positive (WTD returns of +0.4% is the best week in two months) and it has allowed fund flows to recover somewhat while keeping yield buyers engaged too. Earnings season is 89% done and just like last quarter it has been very supportive for BBB spreads, with the BBB-A spread 3bp tighter to 31bp, essentially back to the YTD tight. All in all, we think HG spreads are in a good place though we have a hard time conjuring up a scenario where they rally much further near term given investors will

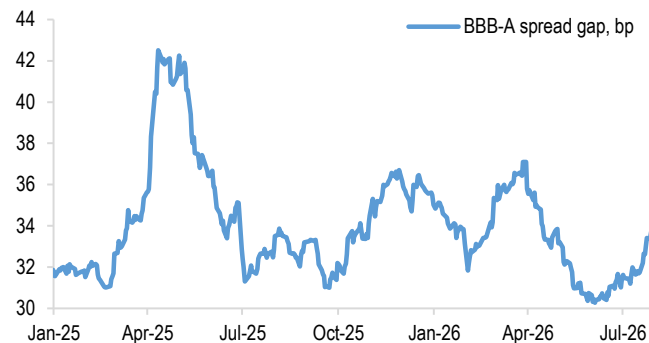
soon be setting up for a busy September primary calendar (September gross issuance has been a top 4 month in each of the last 3 years, with last year the record for September at \$214bn, which was also the busiest month of 2025). As well, the rates backdrop is likely to remain somewhat volatile between further Iran/oil gyrations and the Jackson Hole symposium in the last week of August.

Figure 5: It's not just an AI Capex boom, earnings are following suit already...



Source: J.P. Morgan, Factset, Bloomberg Finance L.P.

Figure 6: ...which has in turn been very supportive for BBB spreads once again

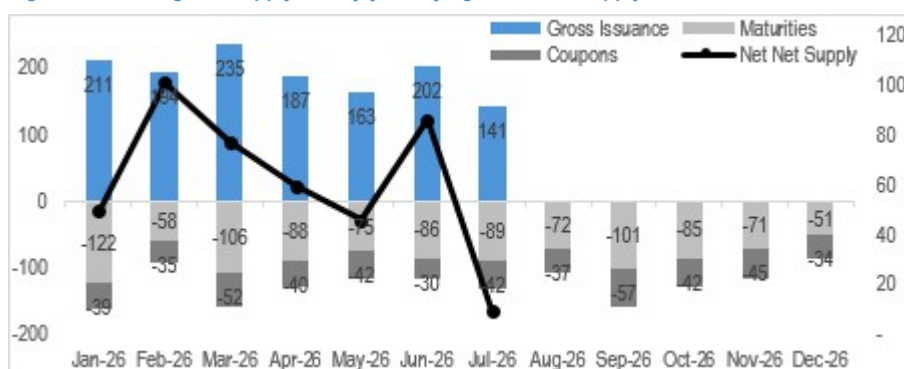


Source: J.P. Morgan

The hyperscaler spread divergence is reflective of two-speed market growth

Gross issuance has been heavy throughout 2026, with most months ranking as either the highest or second-highest on record for that month, most recently again this past July which exceeded the prior record for July by \$58bn (as discussed in more detail in our [issuance review](#)). However, despite July's record \$141bn of issuance, the JULI index par rose by only \$17bn, its smallest monthly increase YTD. This divergence highlights how gross issuance overstates the actual expansion of the investable universe after maturities and other index exits (our JULI index exits bonds at 3m so 'maturities' are mostly 2027 bonds). It also overstates the incremental supply investors must absorb after reinvestment income: YTD gross issuance of \$1.4tr represents 71% of our \$2.0tr full-year forecast, while "net net" supply i.e. gross supply less maturities and coupons, is already \$482bn versus our \$502bn full-year forecast. This implies that for the remainder of the year, higher coupon income along with still heavy maturities should lead to "net net" supply barely growing even as gross issuance remains high:

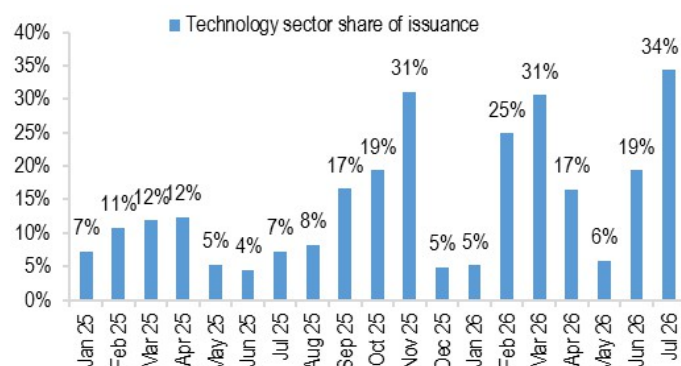
Figure 7: Record gross supply in July yet very light 'net net' supply



Source: J.P. Morgan, Dealogic

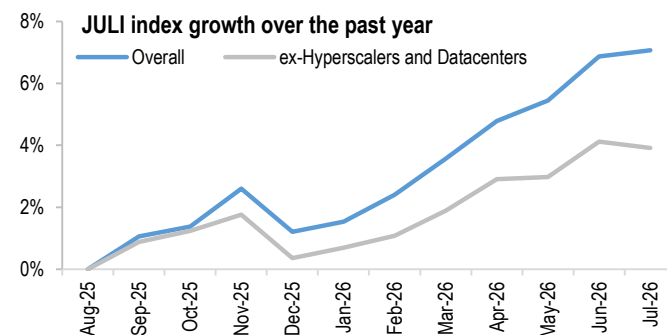
Market growth has also been unusually concentrated. JULI par increased by \$17.3bn in July, but declined by \$16.8bn excluding hyperscalers and data centers, meaning this segment more than accounted for the entire net increase. This is consistent with Tech supply making up a record 34% share of July issuance. More broadly, JULI has grown 7.0% YoY, materially faster than the 3.3% and 4.3% full-year increases in 2025 and 2024, respectively. However, JULI excluding hyperscalers and data centers has grown only 3.8% YoY, e.g. in line with the 2024-25 pace. In other words, the underlying market technicals are very bifurcated between hyperscalers issuing record amounts seemingly regardless of spreads/rates versus the rest of the market which is growing far more slowly, arguably a reflection of the notion that debt is far more expensive given the trajectory of rates.

Figure 8: Record share of Tech issuance in July



Source: J.P. Morgan.; Dealogic

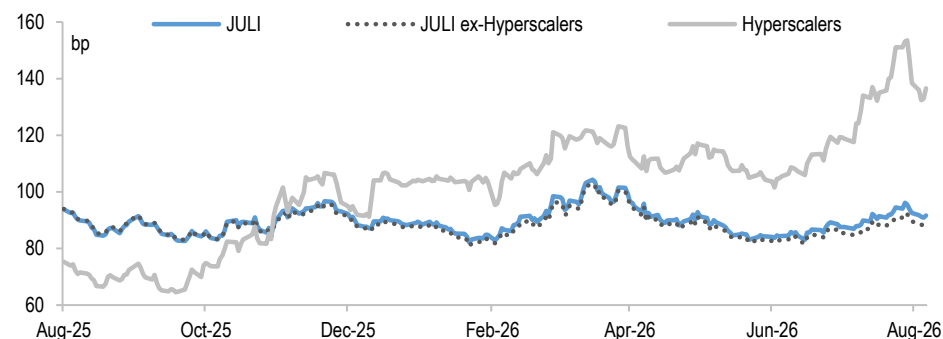
Figure 9: YoY Market growth gets cut in half once you exclude hyperscalers/DCs



Source: J.P. Morgan.

With this background in mind, its no surprise that spread wise it's also been a tale of two very different markets, though now that no hyperscaler has issued post strong earnings their spreads are rallying once again:

Figure 10: Hyperscaler spreads vs. rest of JULI



Source: J.P. Morgan.

The reported JPY FX intervention shouldn't disrupt Japanese demand for USD HG

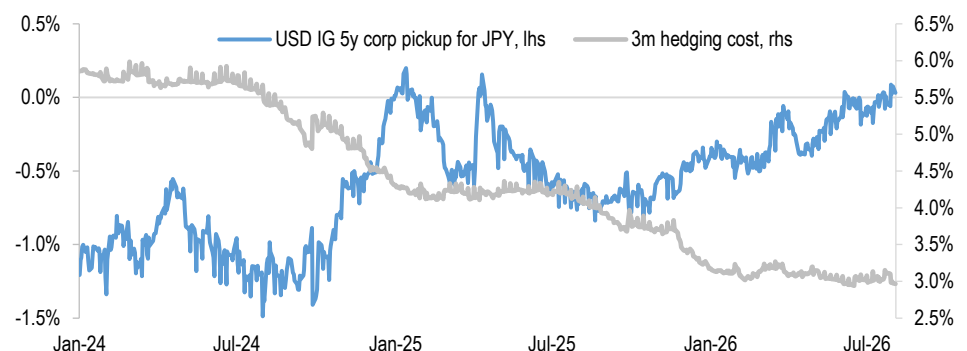
The recently reported US-Japan cooperation on JPY-buying FX intervention is not likely to mechanically weaken demand for USD IG from Japanese investors. Our Japan research team views the latest action as an effort to counteract excessive yen weakness rather than engineer a sustained appreciation, and sees a repeat of the August 2024 JPY

carry-trade unwind as unlikely given the absence of the same combination of a surprise BoJ hike, rapidly rising Fed-cut expectations and US recession concerns that were prevailing at the time (more details [here](#) and [here](#)).

Japanese investors typically hedge their FX exposure using either 3-month FX forwards or cross-currency basis swaps, with the shorter-term hedge typically the more liquid and widely used approach. The incentive to own hedged USD IG therefore depends more on US corporate yields, FX hedging costs and domestic alternatives than on USD/JPY spot alone. 3m hedging costs have declined 15bp over the past three days since the first reports on this FX intervention emerged (spot FX down ~3.85% during this time), which has in turn led the pickup for JPY investors at the 5y point to turn positive to +8bp for the first time since April 2025. This is because the market is viewing this reported FX intervention as more likely to spur the BoJ into action, with market pricing of a September rate hike moving up from 27% to 47% over the past week and a BoJ rate hike would lead to compression versus Fed Funds and therefore lower FX hedging costs.

In terms of trading activity, we've seen overnight net buying of \$78mn/day in 1-5yr bonds over the past 5d, the segment where Japan is the most active buyer. In contrast, in August 2024 as the yen carry trade unwound, the 5y pickup was broadly unchanged and hedging costs were ~5.7%, almost 2x the current 3.0%. Even then, overnight net buying averaged \$66mn/day in June 2024 and \$89mn/day in August 2024 i.e. despite the more disruptive episode then, there was no material pullback from JPY investors. Lastly, for accounts which do not hedge, the very weak yen had created FX gains on existing unhedged or partially hedged USD holdings encouraging profit taking sales. With the Yen appreciation, it reduces those accumulated FX gains, lowering the incentive to sell.

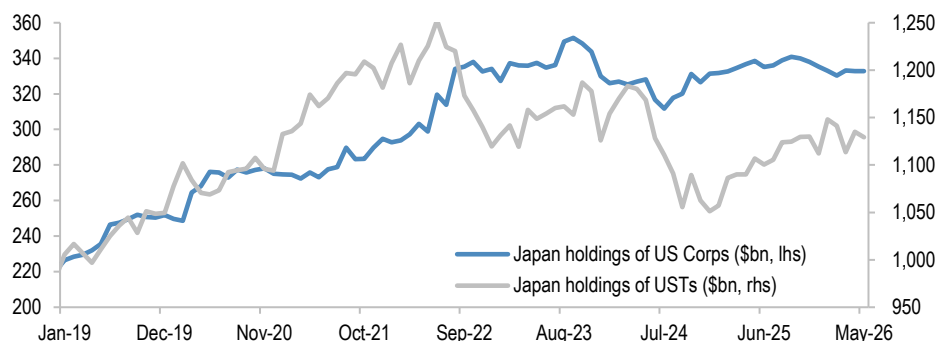
Figure 11: The hedged pickup for JPY investors at 5yr point at highest since April 2025



Source: J.P. Morgan. Bloomberg Finance L.P.

TICS holdings data through May 2026 also show Japanese corporate holdings at ~\$330bn (equivalent to 3.7% of the USD HG market if assume all their holdings are HG), considerably more stable than Japan's UST holdings which have been declining on balance over the past few years. We therefore see limited direct implications for IG spreads from the reported FX intervention and the principal impact remains an indirect one through JGB & UST rate volatility spillover risk, while lower hedging costs and resilient front-end buying are, if anything, supportive of Japanese USD IG demand.

Figure 12: Japanese appetite for HG Corps has remained much stronger than for USTs



Source: J.P. Morgan, TICS

July Issuance Review: Another month of record gross but low net; record % of tech supply, most of which outperformed

Gross issuance: HG bond issuance in July was a record for the month at \$141bn, up 44% vs the past four-year July average of \$98bn. So far this year, 3 out of the 7 months have been new records for that month (Jan, Jun and Jul). The YTD supply tally is \$1,333bn and represents 70% of our full-year forecast of \$1.92tr. Extrapolating the YTD pace and the typical monthly supply distribution would suggest a FY forecast closer to \$2.04tr.

Maturities, coupons, and net issuance: There was \$89bn of maturities resulting in net issuance of \$52bn. Accounting for coupon income of \$42bn, “net net” issuance was just \$10bn. Looking ahead, average gross issuance for August over the past four years has been \$97bn. Maturities are \$72bn and coupons \$37bn this August.

What’s interesting this month: The Tech sector accounted for 34% of overall issuance in July, the highest monthly share for the sector on record (\$48bn overall, led by \$25bn from AMZN and \$12.3bn from TXEDCI). With the sharp move higher in rates, the average coupon gap between new issues and maturing bonds in July widened to 239bp (+62bp MoM), the highest since Nov 2023.

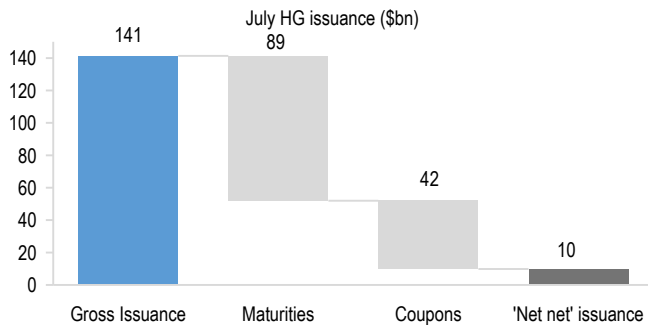
New issue performance: New issues tightened by 10bp from the day of issuance to the end of July while the index widened by 5bp over the same time period. This 15bp of outperformance is the most since April 2025. 60% of this par-weighted performance was driven by just one bond though (TXEDCI), with 29% of new issues wider or less than 2bp tighter by the end of the month.

M&A funding slowed in July, with three issuers issuing \$3.2bn, the lowest since May 2025. That said, YTD M&A supply stands at \$150bn, up 40% YoY, and along with the additional \$114bn expected, our FY26 M&A forecast now stands at \$263bn (~14% of total issuance), which, if realized, would be the largest tally since 2015. See Figure 22 for the full list of pending M&A deals.

Non-USD issuance by US issuers was \$9.5bn in July, down 49% MoM. Despite the July pullback, YTD non-USD supply of \$163bn is at a record, up 26% YoY (hyperscalers tapping wide range of non-USD currencies). As a share of total USD issuance, non-USD represented 6.7% in July versus 12.2% for YTD 2026.

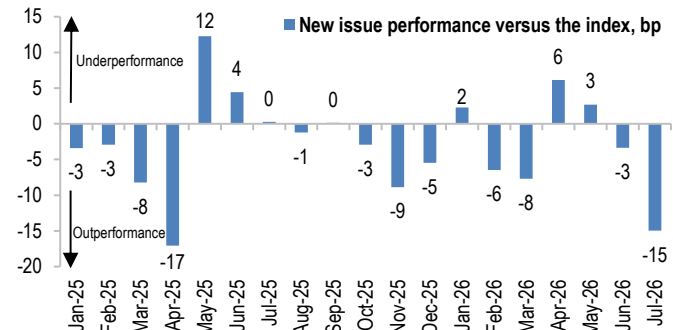
Please see [US High Grade Corporate Bond Issuance Review](#) for more details.

Figure 13: Despite record July gross supply, “net net” issuance was light, as coupons +39% m/m and maturities +4% m/m



Source: J.P. Morgan, Dealogic.

Figure 14: New issues outperformed the index by 15bp in July, the most since April 2025



Source: J.P. Morgan, Dealogic

Much stronger inflows as total returns turn around combined with start of month flows

Fund Flows: HG fund inflows rebounded to \$7.7bn (+134% WoW), moving back above the 4-week average of \$5.7bn. Drivers include a rebound in total returns (+0.8%) combined with the typical first day of the month pickup in flows (see figure 18 below). The recovery was broad-based across vehicles, with ETF inflows rising to \$5.2bn (+53% WoW) and Mutual Funds flipping back to inflows of \$2.5bn after last week's modest outflow. Overall, our estimate of flows into HG corporate bonds across the fund complex increased to \$2.7bn (+\$2.0bn WoW). Across HG sub-categories, Corp-only funds returned to inflows of \$977mn (+\$1.1bn WoW) after last week's outflow, led by the short end where inflows rose to \$960mn (+\$420mn WoW) and the long end at \$252mn (+\$40mn WoW), while the intermediate bucket registered \$235mn more in outflows, though the pace improved by \$647mn WoW. Aggregate fund inflows increased to \$5.7bn (+104% WoW), driven by stronger intermediate inflows of \$3.8bn (+185% WoW) and short-end inflows of \$1.9bn (+34% WoW), while long end outflows continued, though modest at just -\$23mn. Total Return inflows rose to \$1.0bn (+64% WoW).

Across other asset classes, HY flipped back to strong inflows of \$3.5bn (+\$3.8bn WoW), while Leveraged Loan inflows increased to \$1.3bn (+46% WoW). Muni inflows moderated to \$1.5bn (-25% WoW). Money Markets flipped to \$52.6bn of inflows, while Equities remained in inflow territory at \$11.9bn, though down 62% WoW.

On the net supply front, \$78bn of gross issuance priced this week against \$32bn of reinvestment income (maturities and coupons). Looking ahead, we estimate that reinvestment income will rise to \$46bn next week (see Figure 10 below for our weekly coupons and maturities schedule). This is 89% above the August weekly average and 59% above the 2026 weekly average. Lastly, our estimates suggest that HG dealer inventories (>13m) have increased from the last Fed reported data to their highest since January, led by the belly and long-end versus HY dealer inventories have decreased and are now near their lowest level since May 2025 (Figure 3).

Figure 15: Fund flows by asset classes

Asset Class	Fund Flow (\$mm)	WoW chg	Trend	4-week avg (\$mm)	YTD (\$mm)	YTD (% of AUM)	ETF (\$mm)	Mutual Fund (\$mm)	ETF Trend	MF Trend
HG	+7,685	+4,405		+5,665	+305,120	6.31%	+5,218	+2,467		
HY	+3,513	+3,838		+823	+954	0.18%	+3,232	+281		
Lev Loans	+1,338	+419		+840	+10,125	5.52%	+966	+372		
Munis	+1,538	-505		+1,422	+71,907	6.61%	+1,700	-162		
Money Markets	+52,563	+53,775		-18,826	+179,224	1.96%	-	-		
Equities	+11,853	-19,692		+14,040	+342,844	1.43%	+15,588	-3,735		

Source: J.P. Morgan, EPFR. *Note: HG = Corp + Agg + Total Return (bolded lines from Figure 2).

Figure 16: High grade fund flows by fund type

HG Fund Category	Fund Flow (\$mm)	WoW chg	Trend	4-week avg (\$mm)	YTD (\$mm)	YTD (% of AUM)	ETF (\$mm)	Mutual Fund (\$mm)	ETF Trend	MF Trend
Corp-only	+977	+1,107		+722	+58,130	7.64%				
Short	+960	+420		+593	+23,246	8.53%	+934	+26		
Intermediate	-235	+647		-32	+26,391	8.50%	+106	-342		
Long	+252	+40		+161	+8,492	4.77%	+155	+97		
Agg	+5,692	+2,904		+4,180	+199,344	6.37%				
Short	+1,940	+489		+1,472	+41,772	6.81%	+1,257	+683		
Intermediate	+3,775	+2,452		+2,738	+159,552	6.41%	+2,086	+1,690		
Long	-23	-38		-29	-1,980	-7.34%	-20	-3		
Total Return	+1,016	+395		+763	+47,647	4.57%	+700	+317		
JPM Estimated All HG Corps	+2,725	+1,966		+2,010	+122,495	6.63%				

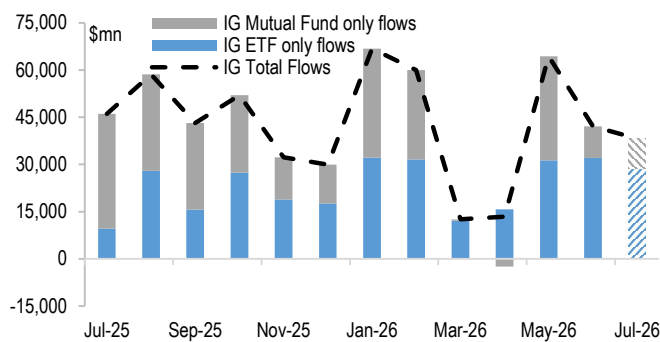
Source: J.P. Morgan, EPFR.

Figure 17: HG net dealer inventories estimation

	HG Net Dealer Positions, \$mn						5d change			
	Fed Reported on 07/29 (A)	TRACE since 07/29 (B)	ETF impact since 07/29 (C)	JPM Current Est. = A+B+C	3m %tile	Ratio vs. 3m average	JPM Est. Daily chg	TRACE DoD chg	ETF DoD chg	JPM inventory chg
HG Total	-4,755	+3,598	-1,363	-2,520	88%	0.59	+89	+483	-394	+2,207
Total >13m	-6,908	+2,403	-1,392	-5,898	100%	0.73	+244	+656	-413	+1,949
0-1yrs	+2,153	+1,195	+29	+3,378	39%	0.89	-155	-173	+19	+258
13m-5yr	+1,154	-318	-820	+17	0%	0.01	-43	+0	-43	-501
5yr-10yrs	+793	+1,797	-182	+2,408	96%	-26.89	-184	+63	-246	+941
10-30yrs	-8,855	+923	-390	-8,322	100%	0.83	+471	+594	-123	+1,509
HY Total	+2,393	+805	-2,753	+444	1%	0.16	-472	-348	-124	+343

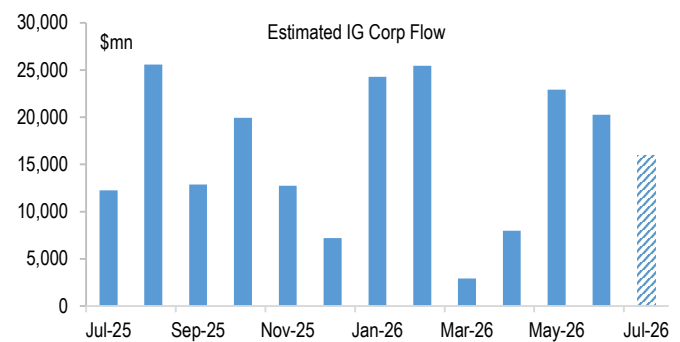
Source: J.P. Morgan, Bloomberg Finance L.P. As of 08/06/2026.

Figure 18: IG ETF vs Mutual Fund fund flows



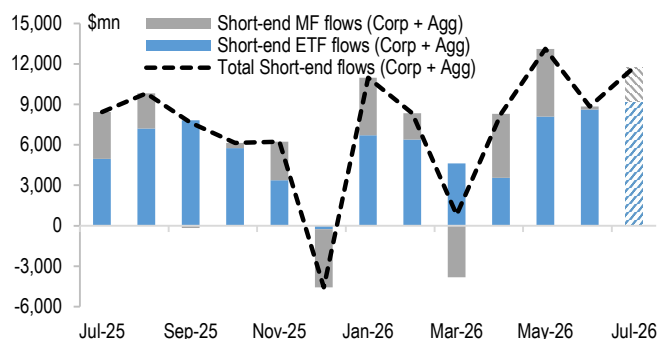
Source: J.P. Morgan, EPFR.

Figure 19: Overall Estimated IG Corp fund flows



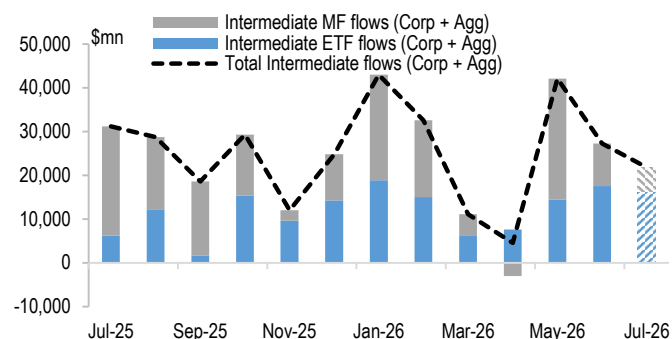
Source: J.P. Morgan, EPFR.

Figure 20: Short-end fund flows



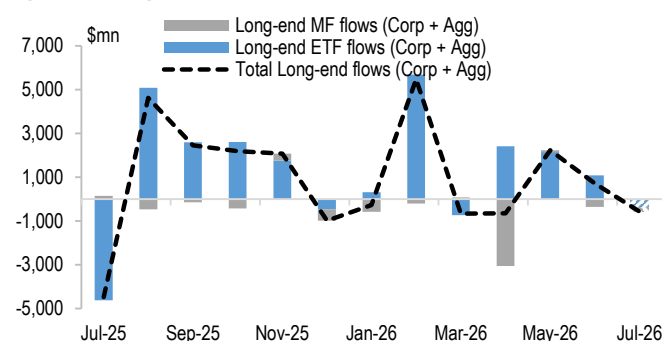
Source: J.P. Morgan, EPFR.

Figure 21: Intermediate fund flows



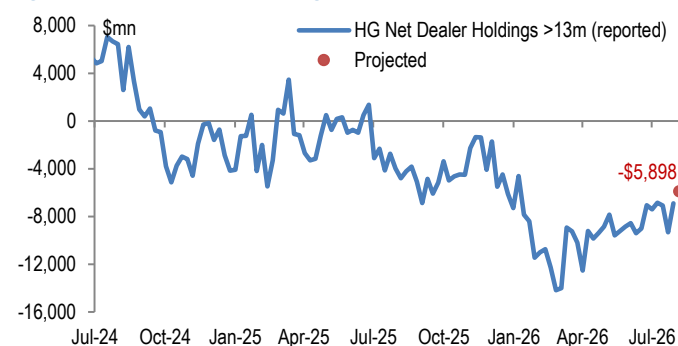
Source: J.P. Morgan, EPFR.

Figure 22: Long-end fund flows



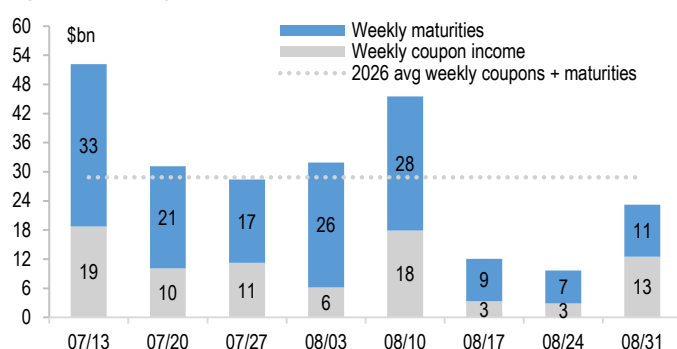
Source: J.P. Morgan, EPFR.

Figure 23: HG Net Dealer Holdings >13m



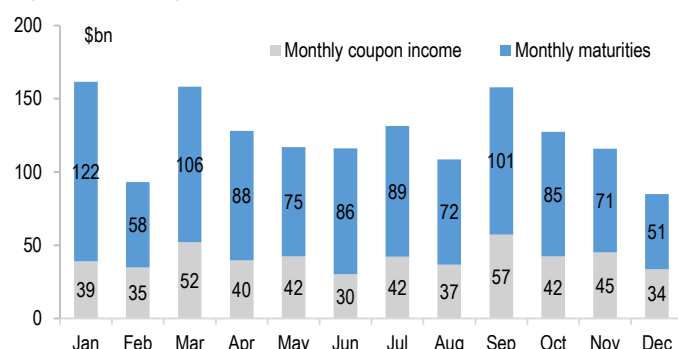
Source: J.P. Morgan, Bloomberg Finance L.P.

Figure 24: Weekly coupon income and maturities



Source: J.P. Morgan, Bloomberg Finance L.P.

Figure 25: Monthly coupon income and maturities

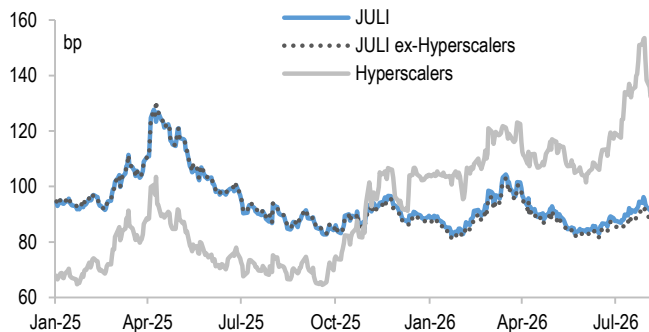


Source: J.P. Morgan, Bloomberg Finance L.P.

Weekly Hyperscaler & Datacenter bond monitor

- **The JULI index widened -2bp WoW**, with JULI ex-Hyperscalers tighter -1.9bp and the Hyperscaler index tighter -9.5bp. The Hyperscaler index is worth **+3.0bp** in the overall JULI index.
- **The Hyperscaler index WoW change of -9.5bp tighter was driven by:** +3.0bp by AMZN (-6bp WoW, 27% weight), -0.8bp by GOOGL (+1bp WoW, 13% weight), -1.0bp by SPCX (-6bp WoW, 5% weight), -1.2bp by MSFT (-9bp WoW, 9% weight), -3.8bp by META (-9bp WoW, 21% weight), -5.7bp by ORCL (-8bp WoW, 24% weight).
- **The 6 hyperscalers make up 4.6% of the JULI index weight** (par-based).
- The data can be accessed via this [DataQuery link](#).

Figure 26: The impact of hyperscaler spread widening has been de-minimis on the broader IG index



Source: J.P. Morgan

Figure 27: JULI ex-hyperscaler versus hyperscaler index performance

Series	JULI	JULI ex-Hyperscalers	Hyperscalers
Current Spread, bp	91.7	88.7	136.6
DoD	+0.8	+0.6	+3.7
WoW	-2.0	-1.9	-9.5
MoM	+3.8	+3.1	+12.3
YTD	+2.2	+0.5	+32.3
YoY	+0.5	-2.8	+64.3

Source: J.P. Morgan

Figure 28: IG High Performance Computing versus Hyperscaler bond relative value

Security	Issuer	Par amount outstanding \$bn	Rating (Mdy / SP / Fitch)	Current G-Spread (bp)	Rating notch difference / Basis, bp
RDMICH 7 1/2 03/30/45	RD Michigan	14.0	Baa3 / - / BBB	309	1 notches
ORCL 5 3/8 07/15/40	Oracle Corp	2.2	Baa2 / BBB- / BBB	232	76
RPLDCI 6.581 05/30/49	Beignet Investor LLC	27.3	- / A+ / -	202	1 notches
META 6.2 05/15/46	Meta Platforms Inc	4.0	Aa3 / AA- / -	147	56
QTSQST 5.7 04/15/36	QTS Fayetteville	4.6	Baa2 / - / -	215	8 notches
MSFT 3.45 08/08/36	Microsoft Corp	1.7	Aaa / AAA / -	41	174
HUTRBA 6.192 11/15/42	Hut 8 DC LLC	3.3	- / BBB- / BBB-	174	7 notches
GOOGL 4.8 02/15/36	Alphabet Inc	4.3	Aa2 / AA+ / -	72	102
HUTBPA 6.129 11/30/42	Beacon Point DC LLC	4.3	Baa2 / - / -	180	5 notches
NVDA 3 1/2 04/01/40	Nvidia Corp	1.0	Aa1 / AA / WD	72	108

Source: J.P. Morgan, Bloomberg Finance L.P.

Foreign Demand Monitor: FAB index up to highest since April 2025 on lower hedging costs; TWD ETFs back to modest inflows

FAB: Our JPM Foreign Attractiveness of USD IG Bonds (FAB) index rose 12bp WoW to 61bp, the highest since April 2025. The move higher was almost entirely driven by hedging costs falling an average of 10.4bp lower led by post-FOMC front-end rate repricing, as the market reduced both the probability and magnitude of near term Fed hikes, while the mixed BoE delivered a more muted reaction in GBP. The subsequent BoJ hold and yen-buying intervention drove a sharp appreciation in JPY but

did not reverse the improvement in hedging costs and in fact they are modestly lower post intervention. As such, hedging costs fell for every currency in EMEA and most in APAC in our cohort last week. The index was further supported by a modest increase in USD IG corp yields by 1.4bp WoW while foreign government yields were about unchanged.

EMEA: For EUR investors, the USD IG yield pickup rose 12bp WoW to +59bp given an 11bp decrease in hedging costs to 1.45%. For GBP investors, the yield pickup improved more moderately by 4bp WoW to +52bp. USD IG Corps are now screening more attractive versus EUR corporates for most currencies at the 10y point after this move. They were already screening cheap in the long-end (see Figure 5 on page 2).

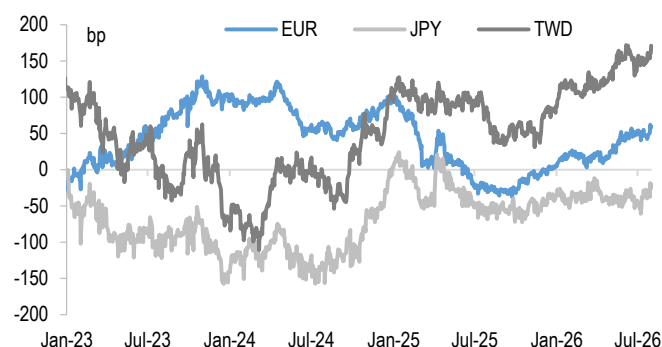
APAC: For JPY investors, the yield pickup improved materially in the front-end by 13bp to 8bp, turning positive for the first time since April 2025 and at the 10y point improved by 16bp WoW to -20bp, as hedging costs fell 14bp to 2.98%. For TWD investors, the yield pickup at the 10yr point rose 15bp WoW to 171bp, the highest since November 2022. For AUD investors, the yield pickup at the 10yr point rose 18bp WoW to +127bp.

Americas: For CAD investors, the yield pickup rose 4bp WoW to 25bp aided by hedging costs down 8bp to 1.67%.

Overnight Flows: Overnight net buying increased modestly WoW to \$268mn/night: single-name net buying fell moderately to \$231mn/night, while TWD ETFs registered modest inflows of \$37mn/night, ending the 4 week streak of outflows. Overnight single-name buying was focused in Technology and they were extremely active in the datacenter new issue in both directions (see Figures 15-16 below).

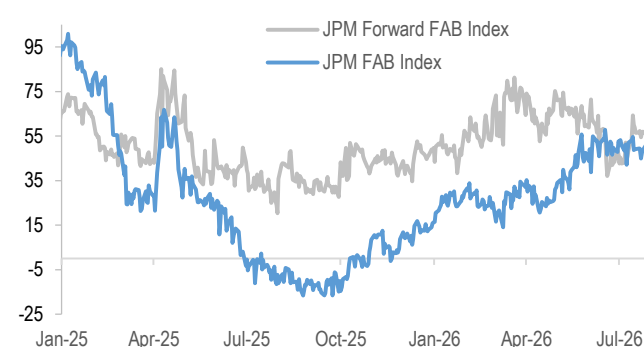
Please see [HG Credit Foreign Demand Monitor](#) for more details.

Figure 29: 10y USD IG Corps FX Hedged Yield Pickup



Source: J.P. Morgan, Bloomberg Finance L.P.

Figure 30: JPM Foreign Attractiveness of USD IG Bonds



Source: J.P. Morgan, Bloomberg Finance L.P.

Curveball: Spread curves flattened sharply as the treasury curve steepened with the 5s10s spread curve off its ~2y high

High grade spread curves flattened sharply in the belly and long-end as JULI spreads tightened by 2bp WoW to 92bp and the long-end outperformed. The 10s30s curve flattened by 2.1bp WoW to 19bp and is now back at the mid-point of its 6m range. Ex-Hyperscalers, the 10s30s curve is at 15.9bp, 2.3bp flatter WoW, while the much steeper Hyperscaler 10s30s curve at 37bp was unchanged WoW. The 5s10s curve flattened sharply by 1.6bp from its 22m peak of 29bp last week to 27bp and is now at 71% of its 6m range. The 3s5s curve flattened modestly by 0.1bp to 17bp and remains steep at 86% of its 6m range. The 2s30s UST curve steepened by 18bp WoW as long-end yields rose by 9bp post Fed.

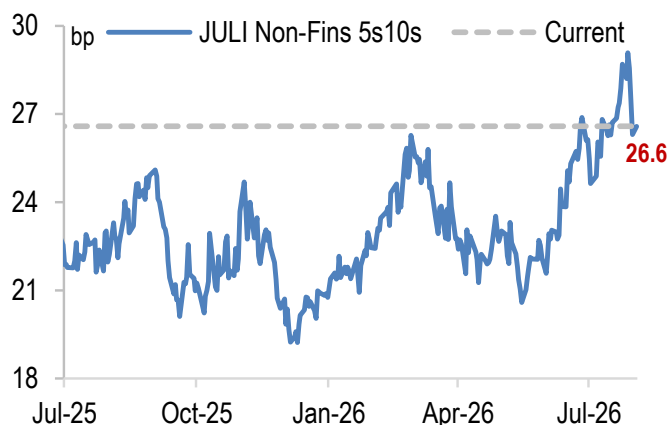
The **3s5s curve** flattened modestly by 0.1bp WoW while it steepened by 1.3bp MoM to 17.2bp. The 3s5s issuer curves for VMW (11bp WoW) and ENTERP (7bp WoW) steepened the most while FDXF (-8bp WoW) and COXENT (-8bp WoW) flattened the most WoW. Currently, VMW (43bp, 100%) and DE (20bp, 100%) are at the steepest level while BAYNGR (18bp, 0%) and AMZN (12bp, 0%) are at the flattest level in their 6m range.

The **5s10s curve** flattened by 1.6bp WoW while it steepened by 1.9bp MoM to 26.6bp. The 5s10s issuer curves for CVECN (12bp WoW) and AQNCN (9bp WoW) steepened the most, while IT (-20bp WoW) and META (-15bp WoW) flattened the most WoW. Currently, SPCX (59bp, 100%) and NEE (44bp, 100%) are at the steepest level while INTU (34bp, 0%) and CAG (20bp, 0%) are at the flattest level in their 6m range.

The **10s30s curve** flattened by 2.1bp WoW while it steepened by 0.5bp MoM to 18.6bp. The 10s30s issuer curves for META (15bp WoW) and RDSALN (10bp WoW) steepened the most, while WLK (-14bp WoW) and AVGO (-10bp WoW) flattened the most WoW. Currently, EOG (17bp, 100%) and RDSALN (12bp, 100%) are at the steepest level while BCECN (-10bp, 0%) and SPCX (28bp, 0%) are at the flattest level in their 6m range.

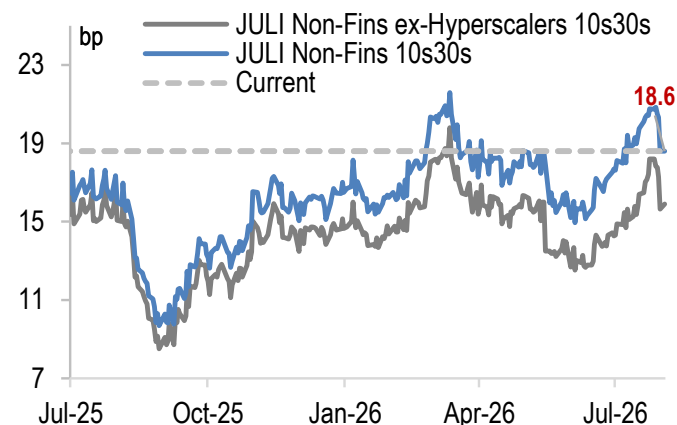
Please see [Curveball: HG Credit Curve Opportunities](#) for more details.

Figure 31: JULI Non-Fins 5s10s curve



Source: J.P. Morgan.

Figure 32: JULI Non-Fins 10s30s curve



Source: J.P. Morgan.

Sector Recommendations

JULI ex EM sector recommendations

Sector	Analyst	Analyst Recommendation	10yr Curve Current	Index Spread Current	Index Spread 3M Δ	Index Spread YTD Δ
Consumer		Underweight	84	76	0	-2
Tobacco	Yaakov Musheyev	Overweight	83	89	0	-5
Food/Beverages	Carla Casella	Underweight	81	74	0	0
Consumer Products	Yaakov Musheyev	Underweight	65	58	-2	-6
Energy	Matthew Anavy	Neutral	89	91	0	-13
Pipelines/Midstream/MLP		Neutral	97	101	0	-11
Exploration/Production		Neutral	91	93	-2	-23
Integrated Energy		Neutral	68	69	5	-6
Energy Services		Underweight	87	88	5	-13
Refiners		Neutral	87	92	-6	-22
Finance Companies	Kabir Caprihan	Overweight	108	100	-2	2
Insurance	Brett Gibson	Neutral	94	92	-1	1
Life Insurance		Neutral	111	98	-2	1
P&C Insurance		Neutral	81	86	1	1
Telecoms	Erica Spear	Neutral	100	109	12	11
Domestic Telecoms		Neutral	98	110	13	14
Yankee Telecoms		Underweight	105	104	6	-3
Automotive	Evan Piascik	Underweight	138	95	-6	-6
Automotive Manufacturing		Underweight	136	126	-9	-8
Automotive Suppliers		Underweight	80	84	2	0
Automotive Finance Companies		Underweight	145	88	-6	-6
Basic Industries		Neutral	93	89	-3	-9
Metals/Mining	Arjun Chandar	Overweight	79	78	0	-3
Chemicals	Aaron Rosenthal	Underweight	107	102	-5	-18
Paper/Packaging	Arjun Chandar	Neutral	91	85	-6	-5
Capital Goods		Neutral	71	71	1	-3
Aerospace/Defense	Yilma Abebe	Overweight	68	76	1	-5
Manufacturing	Evan Piascik	Neutral	73	65	2	-1
Media Entertainment	Erica Spear	Underweight	126	156	27	25
Cable/Satellite		Underweight	154	182	32	31
Diversified Media		Underweight	90	124	25	20
US Banks	Kabir Caprihan	Overweight	91	83	1	5
Large US Banks - Sen HoldCos		Overweight	89	80	1	6
Large US Banks - Sub HoldCos		Neutral	-	106	2	7
Regional US Banks		Neutral	103	87	-3	1
Yankee Banks	Kabir Caprihan	Overweight	99	87	-3	-1
UK Holdco		Overweight	-	95	-3	3
Australia/NZ Banks		Overweight	72	79	2	1
Euro Senior		Overweight	-	88	-5	-4
Euro Sen Non Pref		Overweight	-	57	-7	-15
Japanese Banks		Overweight	90	77	-2	3
Canadian Banks		Underweight	79	59	0	1
Property Real Estate	Mark Streeter	Neutral	98	83	-4	-5
Retail	Carla Casella	Underweight	64	69	2	-3
Non-Food Retail		Underweight	62	65	2	-3
Food/Drug Retail		Underweight	74	81	2	-2
Transportation	Mark Streeter	Neutral	72	74	-1	-5
Aviation		Neutral	110	88	-8	-6
Railroads		Neutral	57	70	1	-4
Freight		Neutral	76	78	-5	-8
Utilities	Kevin Kwan	Neutral	92	87	0	-2
Utilities HoldCos		Neutral	93	89	-1	-2
Utilities OpCos		Neutral	87	87	1	-2
Utilities Power Gencos		Neutral	110	105	-1	-1
Technology	Erica Spear	Neutral	108	113	11	24
Healthcare Pharmaceuticals	Brett Gibson	Overweight	74	78	0	-3
Large Cap Pharma		Overweight	66	67	3	0
Medical Devices		Neutral	73	69	-1	0
Healthcare Services		Overweight	86	91	-2	-5
Biotech Generics		Neutral	73	79	1	-2

Source: J.P. Morgan. Analyst recommendations and spread levels refreshed through 08/06/2026.

High Grade Analytics

JULI Sector Statistics and Performance

	Size			Yield	Average I- Spread(Treasury) bp					Portfolio Spread(Treasury) bp					Total return (%)				Duration change				
	Num	Size	(%)		Current	7d	30d	90d	ytd	Current	7d	30d	90d	ytd	7d	30d	90d	ytd	Dur	7d	30d	90d	ytd
JULI	10,356	8,683		5.76	81	-1	3	0	1	92	-2	4	2	2	0.3	-0.5	-0.8	-0.3	6.6	0.0	-0.1	-0.2	-0.2
JULI EM	763	507	5.8%	5.68	84	-4	2	0	-7	92	-4	2	1	-7	0.3	-0.3	-0.5	-0.2	5.7	0.0	-0.1	-0.2	-0.3
JULI ex EM	9,593	8,176	94.2%	5.76	81	-1	3	0	1	92	-2	4	3	3	0.3	-0.5	-0.8	-0.3	6.7	0.0	-0.1	-0.2	-0.2
AAA	52	49	0.6%	5.55	43	-4	2	5	6	49	-6	2	5	9	0.8	-1.0	-2.1	-2.4	10.2	0.0	-0.1	-0.1	-0.2
AA	818	878	10.1%	5.68	60	-2	5	7	10	77	-2	7	12	15	0.4	-0.8	-1.5	-1.3	7.3	0.1	-0.1	-0.1	-0.2
A	4,453	3,958	45.6%	5.62	69	-1	3	0	2	78	-1	4	3	4	0.3	-0.4	-0.8	-0.3	6.6	0.1	0.0	-0.2	-0.2
BBB	5,033	3,799	43.7%	5.92	99	-2	4	0	-1	110	-3	3	1	-1	0.3	-0.4	-0.6	0.0	6.5	0.0	-0.1	-0.2	-0.3
3-yr	2,547	2,163	24.9%	4.84	57	1	4	-4	-3	58	3	5	-3	-4	0.1	0.3	0.5	1.3	2.1	0.1	0.0	0.0	0.0
5-yr	2,035	1,686	19.4%	5.07	71	-2	2	-1	-3	72	-2	3	-1	-3	0.2	0.1	-0.1	0.4	3.9	0.1	0.0	0.0	-0.1
7-yr	1,105	1,016	11.7%	5.29	80	-1	4	1	1	81	-1	4	2	2	0.2	-0.1	-0.5	-0.1	5.3	0.1	0.0	-0.1	-0.2
10-yr	1,435	1,312	15.1%	5.54	93	-2	4	3	3	95	-2	4	3	2	0.3	-0.4	-0.9	-0.5	6.8	0.0	0.0	-0.1	-0.1
30-yr	3,234	2,506	28.9%	6.17	103	-3	4	4	4	102	-3	4	4	5	0.6	-1.6	-2.4	-2.1	12.2	0.0	-0.1	-0.3	-0.4
Financials	2,671	2,659	30.6%	5.56	80	-2	1	-3	1	88	-2	2	-1	2	0.2	-0.1	-0.3	0.2	5.1	0.0	0.0	-0.1	-0.2
Non Financials	7,685	6,024	69.4%	5.82	82	-1	4	2	0	93	-2	4	4	2	0.3	-0.6	-1.0	-0.5	7.3	0.0	-0.1	-0.2	-0.3
US Banks	544	999	11.5%	5.48	75	-2	2	-1	3	83	-1	3	0	5	0.2	-0.1	-0.4	0.0	5.2	0.0	0.0	-0.1	-0.1
Yankee Banks	865	885	10.2%	5.42	75	-2	2	-4	-1	87	-2	2	-3	-1	0.2	0.0	0.0	0.5	4.3	0.0	0.0	-0.1	-0.1
Finance Companies	533	350	4.0%	5.65	100	-2	-1	-6	0	99	-2	0	-3	1	0.2	0.0	-0.1	0.4	4.9	0.0	-0.1	-0.2	-0.4
Life Insurance	472	276	3.2%	5.80	86	-1	1	-5	-1	99	-2	0	-1	1	0.3	-0.2	-0.4	0.0	6.0	0.0	0.0	0.0	-0.3
P&C Insurance	257	150	1.7%	5.83	82	-1	2	0	0	86	-2	2	1	1	0.4	-0.6	-1.1	-0.7	8.3	0.0	-0.1	-0.3	-0.4
Bldg Mat / Cstrction	67	41	0.5%	5.65	76	-1	1	0	-2	84	-1	2	2	0	0.2	-0.3	-0.6	0.0	6.4	0.0	-0.1	-0.2	-0.2
Chemicals	155	88	1.0%	5.93	91	-1	0	-5	-18	103	-1	-1	-5	-22	0.3	-0.2	-0.4	0.7	7.3	0.1	0.0	-0.2	-0.2
Metals/Mining	151	113	1.3%	5.70	81	-2	2	-1	-4	87	-2	2	0	-4	0.3	-0.4	-0.8	0.0	7.1	0.0	-0.1	-0.2	-0.4
Paper/Packaging	79	48	0.6%	5.73	92	-1	3	-2	-7	101	-1	3	-2	-5	0.2	-0.2	-0.4	0.3	5.5	0.0	0.0	-0.3	-0.5
Capital Goods	519	382	4.4%	5.57	62	-1	2	-1	-4	71	-1	3	0	-3	0.2	-0.4	-0.8	-0.1	6.9	0.1	0.0	-0.2	-0.3
Food/Drug Retail	74	50	0.6%	5.79	72	-2	2	0	-3	82	-2	2	1	-2	0.3	-0.6	-1.1	-0.4	8.0	0.0	-0.1	-0.3	-0.2
Non-Food Retail	193	151	1.7%	5.55	58	-1	2	0	-2	66	-2	2	1	-2	0.3	-0.5	-1.0	-0.4	7.3	0.0	-0.1	-0.2	-0.2
Food/Beverages	400	303	3.5%	5.70	70	-1	3	0	-1	79	-1	2	0	0	0.3	-0.5	-0.9	-0.4	7.5	0.0	-0.1	-0.2	-0.2
Tobacco	101	94	1.1%	5.71	74	-1	2	-2	-6	89	-2	2	-1	-5	0.3	-0.3	-0.6	0.1	6.4	0.0	-0.1	-0.2	-0.3
Consumer Products	103	66	0.8%	5.37	59	-3	0	0	0	61	-2	-1	-3	-5	0.2	-0.2	-0.5	0.0	6.0	0.1	0.0	0.0	0.0
Leisure	70	54	0.6%	5.43	89	-3	3	-4	-4	96	-2	3	-2	-2	0.2	0.0	0.1	0.6	4.2	0.0	-0.1	-0.2	0.0
Services	64	38	0.4%	5.33	63	1	3	-1	0	66	1	2	1	1	0.2	-0.1	-0.5	-0.1	5.6	0.1	0.1	-0.1	-0.5
Automotive	338	257	3.0%	5.48	81	-2	-1	-7	-6	96	-2	-1	-6	-6	0.2	0.2	0.2	0.9	3.9	0.1	0.0	0.0	-0.2
Healthcare Pharma	793	806	9.3%	5.71	68	-1	3	-1	-4	78	-1	4	0	-3	0.3	-0.7	-1.0	-0.5	7.9	0.0	-0.1	-0.2	-0.4
Cable/Satellite	114	135	1.6%	6.78	167	-4	17	29	32	182	-5	16	27	31	0.7	-1.7	-3.1	-2.9	8.6	0.1	-0.2	-0.6	-0.9
Div Media	85	126	1.5%	6.22	104	-7	10	18	10	125	-7	12	21	18	0.8	-1.6	-2.6	-3.8	8.8	0.0	-0.2	0.1	-0.2
REITs	444	220	2.5%	5.52	79	-2	1	-5	-5	86	-2	2	-4	-5	0.2	-0.2	-0.2	0.4	5.4	0.0	-0.1	-0.2	-0.3
Technology	865	1,009	11.6%	6.00	96	-1	11	10	19	110	-5	9	10	23	0.5	-1.0	-1.6	-1.4	7.3	0.0	-0.2	-0.3	-0.2
Domestic Telecoms	189	238	2.7%	6.07	95	-4	6	8	9	110	-5	8	12	14	0.6	-1.1	-2.1	-1.7	8.4	0.1	-0.1	-0.3	-0.2
Yankee Telecoms	109	99	1.1%	5.84	88	-3	1	4	-2	99	-4	2	4	-3	0.4	-0.4	-1.0	-0.1	6.9	0.0	-0.1	-0.1	-0.3
Transportation	329	206	2.4%	5.67	69	-1	2	-4	-7	73	0	2	-2	-6	0.2	-0.5	-0.8	-0.1	7.5	0.0	-0.1	-0.3	-0.4
Energy	782	637	7.3%	5.80	82	-2	0	-1	-13	91	-2	1	0	-14	0.4	-0.4	-0.8	0.1	7.6	0.0	-0.1	-0.2	-0.3
Utilities	1,568	816	9.4%	5.82	80	0	3	-2	-3	87	0	3	0	-2	0.2	-0.7	-0.9	-0.3	8.0	0.1	-0.1	-0.2	-0.3

Source: J.P. Morgan, as of 08/06/2026.

07 August 2026

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J.P. Morgan Credit Research Ratings Distribution, as of July 04, 2026

	Overweight (buy)	Neutral (hold)	Underweight (sell)
Global Credit Research Universe*	26%	58%	16%
IB clients**	84%	84%	89%

*Please note that the percentages may not add to 100% because of rounding.

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